

504MAN Resource Management

Performance Management

Week 2 – Session 7

Don't forget to tap in

Our responsibilities:

- Understand why students aren't attending.
- Provide support to help you succeed.
- Be compliant with regulations and educational policies.
- Report students who are not attending to UKVI.

Your responsibilities:

- Use your own ID card to register your attendance.
- Be familiar with and follow institutional policies and legal regulations.

- !! **Do NOT tap in on behalf of other students.** This can result in a violation of visa conditions and/or institutional policy and procedures.
- !! **Do NOT give your student ID card to someone else** to let them into the library or other campus buildings as this is an offence under institutional regulations.



Extensions & Deferrals – What You Need to Know

-  Deferring may delay course progression or graduation.
- Tier 4/Student Visa holders: Deferring may affect Post Study Visa eligibility.
- For visa advice, contact: visahelp.io@coventry.ac.uk
-  Use one form per semester for multiple components/modules.
- Do not submit multiple forms.
- Form link: <https://livecoventryac.sharepoint.com/sites/students-registry-extensions-deferrals/SitePages/Extension---Deferral-Form.aspx>
-  Before submitting:
- Engage with your tutor and library academic writing support.
- Where required, seek support from our Welfare Team through Spectrum Life
- For help with form completion, contact the Student Success Coaches at Main Reception.

Intended Module Learning Outcomes

1. Analyse the importance of effective and efficient use of resources in organisations
2. Analyse principles which underpin effective procurement of resources
3. Investigate and plan the resources required to achieve an organisations aim and objectives
4. Analyse the procedures and practices that ensures resources are maximised and remedial actions taken where appropriate
5. Evaluate and appraise the use of resources against organisational plans
6. Analyse principles that underpin effective supply chain management

Session Outcomes

At the end of this session learners should be able to:

- 
- 1 Understand performance management, the performance appraisal, and the PA process.
 - 2 Explain the choice of various performance appraisal methods.
 - 3 Assess the effectiveness and limitations of performance appraisal practices.
 - 4 Explore key trends in performance appraisal practice.

Some research indications

- Less than one third of **over 5,000** employees believed that their **performance appraisal had helped them improve** their performance (Aguinis *et al.*, 2011)
- Appraisals may have a **negative effect** on an employee's job satisfaction (Ferris *et al.*, 2008).
- Employees who had a **poor experience with their appraisal** **were more likely to be dissatisfied with their job**, and to have low organisational commitment (Brown *et al.*, 2010)
- Mani (2002) found that **over 40% of the staff in a public-sector organisation were dissatisfied with their appraisal**, including those who received a “good” or “outstanding” rating

Performance Management

Introductory video:

Watch the video from CIPD.

<https://youtu.be/PfXEceZzND0>

Performance Management

Goal-oriented process ensuring processes are in place to **maximize productivity** of employee, team, and organizational levels



Close **relationship between incentives and performance.**



Dynamic, ongoing, **continuous process**



Each part of the system is **integrated** and linked for **continuous organizational effectiveness**



'systems and attitudes which help organisations to plan, delegate and assess the operation of their services

Performance Appraisal

Performance appraisal is a formal system of **review** and **evaluation of individual** and team performance.



Appraisal is a **critical part of performance management** because it helps provide feedback, encourage performance improvement, identify training and development needs, and personnel decisions.



As such, developing an **effective performance appraisal system** has been, and will continue to be, a high priority for management.

Performance management systems

- A continuous process
- Identifies, measures and develops the **performance of individuals and teams**
- Aligns performance with the strategic goals of the organisation.
- Addresses both the 'what' and the 'how' of performance
- Often competency based

Performance appraisal

- Formalised processes to review employee performance
- Centrally designed
- Line managers appraise staff.
- Often **only once a year**
- Reports are archived
- Often seen as an **ineffective administrative** exercise

Read

- *Go to the article on Aula – “How performance reviews in the fashion industry have come under pressure”.*
- *Read this short article and summarise the key points in the article.*
- *What do you understand from the article? Share your thoughts with the rest of the class.*

Theoretical basis of performance management



Goal Theory

(Locke and Latham, 1979)

Setting and agreeing objectives against which performance can be measured and managed

Highlights four mechanisms that connect goals to performance outcomes

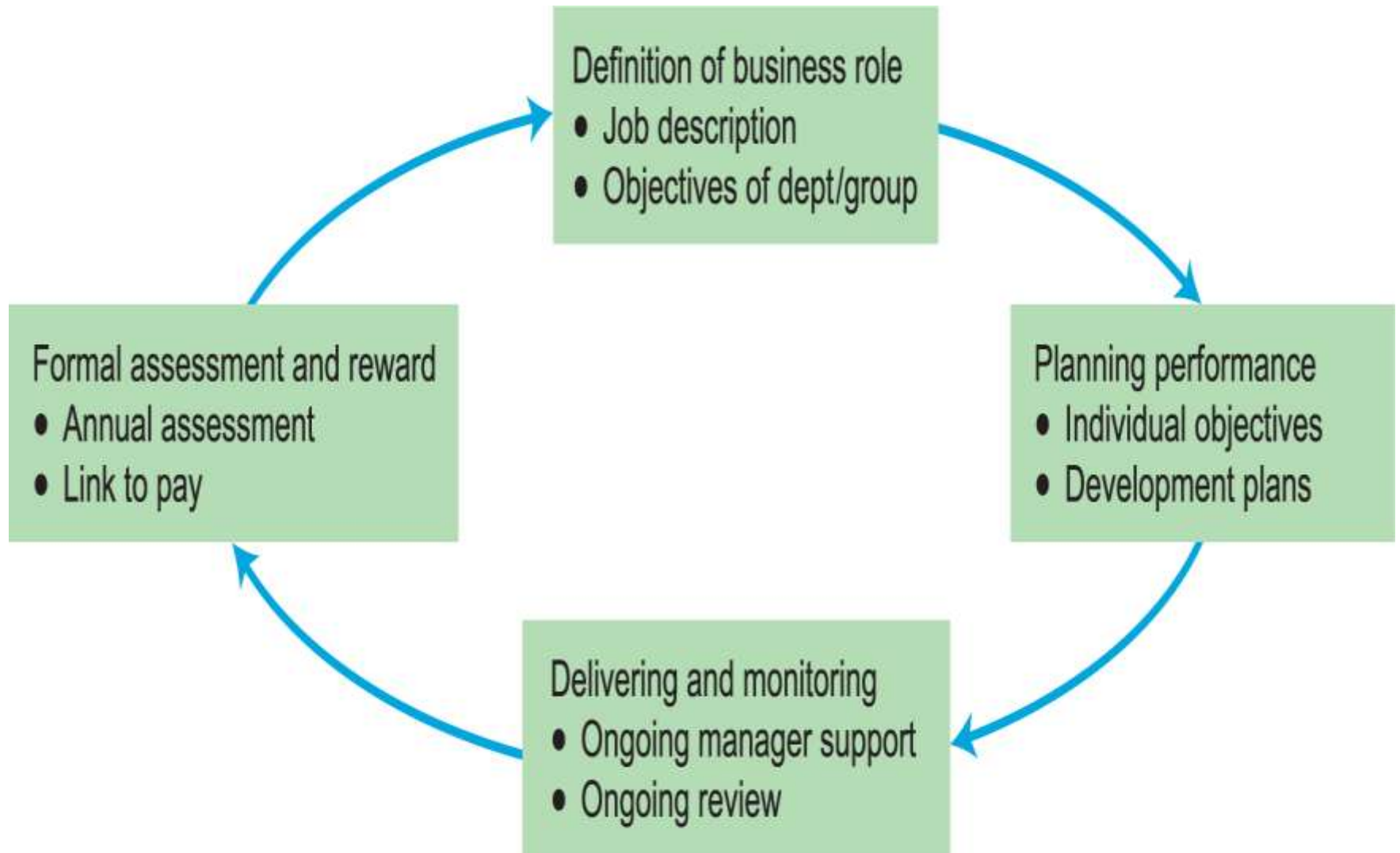
- They **direct** attention to priorities
- They **stimulate** effort
- **Challenge people** to bring their knowledge and skills to increase their chances of success
- The **more challenging the goal**, the more people will draw on their full repertoire skills

Expectancy Theory

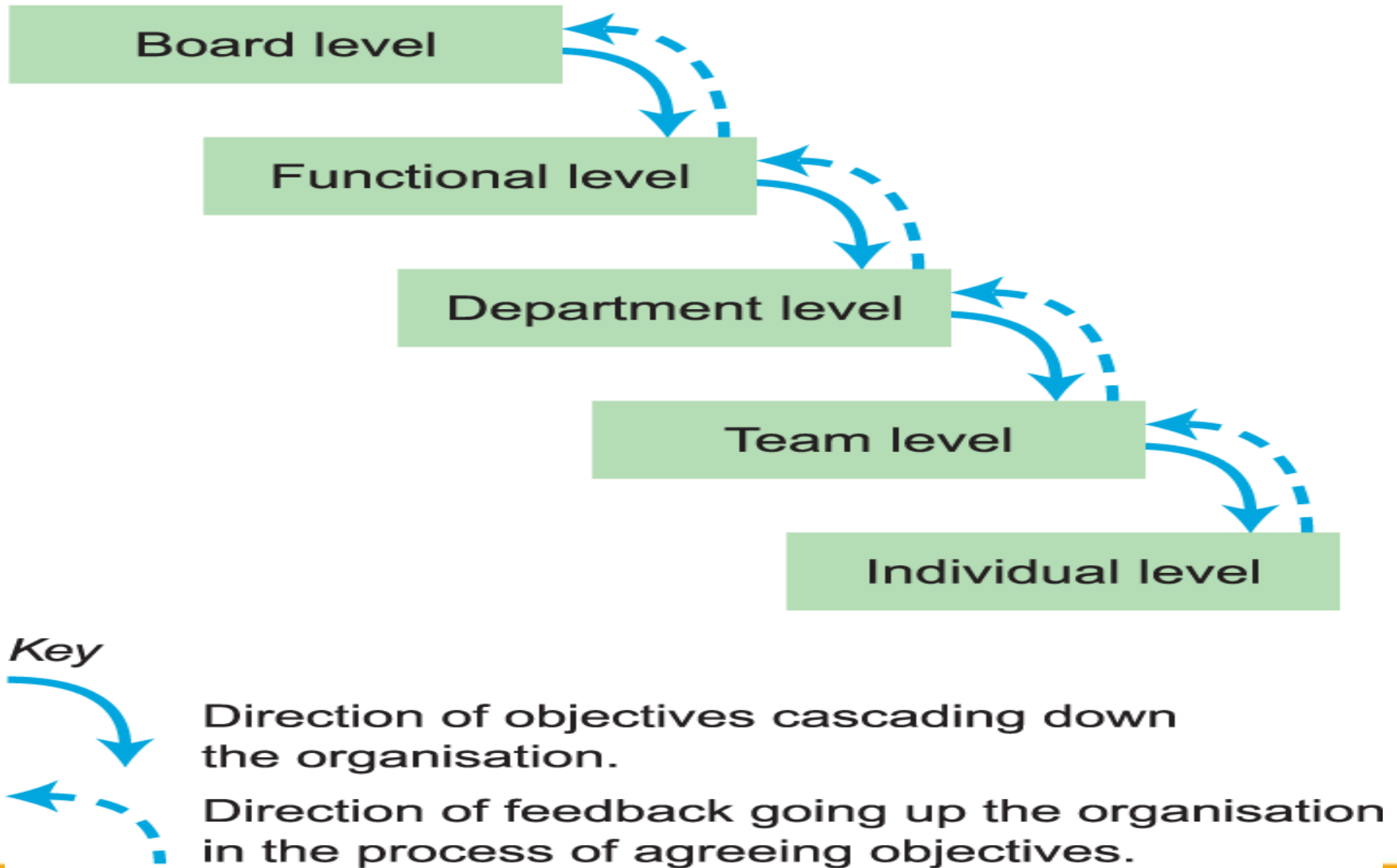
(Vroom, 1964)

- Individuals will be **motivated to act** provided they expect to be able to achieve the goals set
- Achieving the goals will lead to other rewards and the rewards on offer are valued.
- Linking **performance management to reward** was very common but has decreased in popularity.
- Difficulties of reward-based system.

Performance Management System



An objective-setting cascade



SMART OBJECTIVES

S

- Specific

M

- Measurable

A

- Achievable

R

- Realistic (Relevant)

T

- Timely/ Time bound

Individual activity - Performance Management

Activity

20 minutes

- Introduction video
- Go to the CIPD link below and highlight key aspects of performance management.
- [Performance Management | Factsheets | CIPD](#)
- Can you find any evidence as to how your organisation uses performance management?

Managers have a key enabling role which involves:

- The organisation of resources for performance
- Off-job training
- Coaching
- Accessibility in case of problems
- Review and confirmation or adjustment of targets
- Recognition and reward
- Collection of performance evidence.

Performance Appraisal Process



RESPONSIBILITY FOR PERFORMANCE APPRAISAL

● IMMEDIATE SUPERVISOR

- Traditionally has been the most common choice for evaluating performance.

● EMPLOYEES

- Some managers have concluded that evaluation of managers by subordinates is feasible.

● PEERS AND TEAM MEMBERS

- Peer appraisal has long had proponents who believed that such an approach is reliable if the workgroup is stable over a reasonably long period of time and performs tasks that require considerable interaction.

● SELF-APPRAISAL

- If individuals understand the objectives they are expected to achieve and the standards by which they are to be evaluated, they are—to a great extent—in the best position to appraise their own performance.

● CUSTOMER APPRAISAL

- Behaviour of customers determines the degree of success a firm achieves. Therefore, some organisations believe it is important to obtain performance input from this critical source.

● 360-DEGREE FEEDBACK

- Popular performance appraisal method that involves evaluation input from multiple levels within the firm as well as external sources.



CHOOSING A PERFORMANCE APPRAISAL METHOD



Trait systems

Type of performance-appraisal method, requiring to evaluate each employee's traits or characteristics.

- Limitations (e.g., subjective, traits represent a predisposition for behavior, but not behavior itself)



Comparison systems

evaluate a given employee's performance against other employees' performance attainments. Employees are ranked from the best performer to the poorest performer



Behavioural systems

focus on distinguishing between successful and unsuccessful behaviours



Results-based systems

focus on measurable outcomes such as an individual's or team's sales, customer service ratings, productivity, reduced incidence of workplace injuries

Trait systems

<i>Employee's Name:</i>	<i>Employee's Position:</i>
<i>Supervisor's Name:</i>	<i>Review Period:</i>

Instructions: For each trait, circle the phrase that best represents the employee.

1. Diligence
a. outstanding b. above average c. average d. below average e. poor
2. Cooperation with others
a. outstanding b. above average c. average d. below average e. poor
3. Communication skills
a. outstanding b. above average c. average d. below average e. poor
4. Leadership
a. outstanding b. above average c. average d. below average e. poor
5. Decisiveness
a. outstanding b. above average c. average d. below average e. poor

Figure 1. A Trait-Oriented Performance Appraisal Rating Form

Comparison Systems

Forced distribution: stacked rating system

- Performance appraisal method in which the rater is required to assign individuals in a workgroup to a limited number of categories similar to a normal frequency distribution

Paired comparison: variation of ranking system

- Supervisors compare each employee to every other employee, identifying the better performer in each pair.

Behavioural Systems

Critical incident technique (CIT)

- Performance appraisal method that requires keeping **written records** of highly favourable, and unfavourable, **employee work actions**.

Behaviourally anchored rating scale (BARS) method

- Performance appraisal method that combines elements of the traditional rating scale and critical incident methods; various performance levels are shown along a scale with each described in terms of an employee's specific job behaviour.

Behavioural observation scales (BOS)

- A specific kind of behavioural system for evaluating job performance **by illustrating positive incidents (or behaviours)** of job performance for various job dimensions.

Results-Based Systems

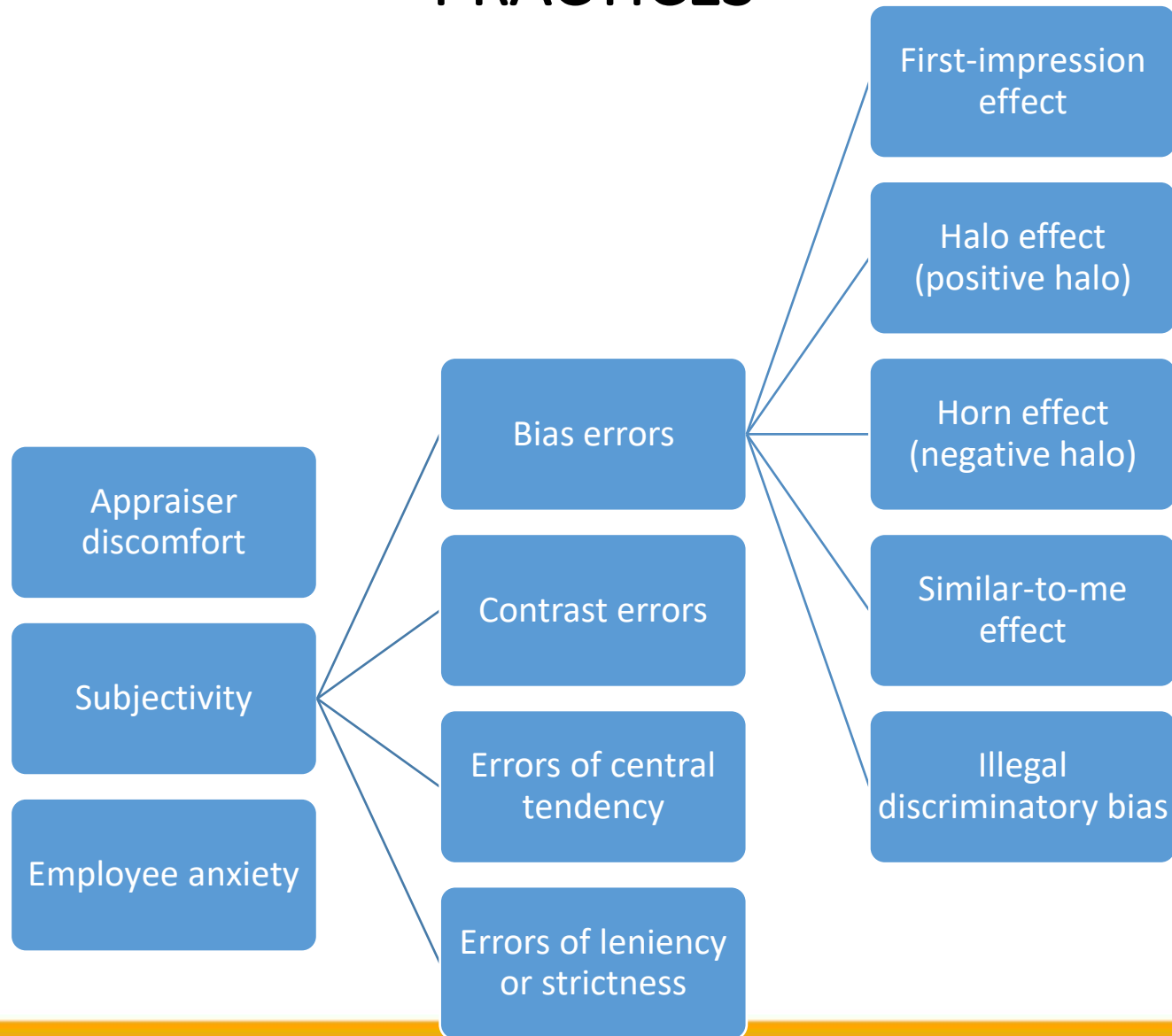
Management by objectives (MBO)

- Supervisors and employees **determine objectives** for employees to meet during the rating period and **employees appraise how well** they have achieved their objectives

Work standards method

- Performance appraisal method that compares each **employee's performance** to a predetermined standard or expected level of output

LIMITATIONS OF PERFORMANCE APPRAISAL PRACTICES



Some research indications

- Appraising an employee's performance is an emotionally difficult process
 - employees react badly when a supervisor rates them as average or below average
- Pre-existing views of what constitutes good performance
- Managers inflate their performance ratings when they were made accountable for their ratings (Mero et al., 2003)
- Accountability resulted in more accurate ratings
 - manager more diligent in collecting, recording and processing data on employee performance (Mero et al., 2007)

Objective-based schemes are not without difficulties;

- Measurement is often difficult
- Many jobs do not have meaningful measures
- Measures tend to focus on the short term rather than the long term
- Employee actions may account for little of the variability in the outcomes measured



Individual research activity – 30 minutes

- *Conduct research of the performance management systems and performance appraisals at the organisation you have chosen for your assignment.*
- *Share your research findings with the rest of the class.*
- *To what extent does your organisation focus on development and to what extent does it focus on reward?*



Activity

5 minutes

Traffic Light *it*

Where is your learning at?



Red = I have misunderstood some of the topics. (write down 2 questions that you need help with)

Amber = I have understood most of the topics so far (write down 1 question and 1 key theme you have understood)

Green = I have understood the topics so far (write down 2 key themes from the lesson to show your understanding)

Session Reference List

- Armstrong, M. and Taylor, S. (2017). *Armstrong's handbook of human resource management practice*. 1st ed. London: Kogan Page.
- Breaugh, J. A., & Starke, M. (2000). Research on employee recruitment: So many studies, so many remaining questions. *Journal of Management*, 26(3), 405–434.
- CIPD (2015) Resourcing and Talent Planning: Annual Survey Report 2012. London: CIPD. Reproduced with the permission of the publisher, the Chartered Institute of Personnel and Development, London (www.cipd.co.uk).
- Martocchio, J. J. (2019) *Human Resource Management*, 15th Edition, Pearson
- Searle R. (2004) 'New technology: The potential impact of surveillance techniques in recruitment practices', *Personnel Review*, Vol. 35, No.3, pp. 336-51
- Torrington, D., Hall, L., Atkinson, C. and Taylor, S. (2017) *Human Resource Management*. 10th edn. Harlow: Pearson
- Wilkinson, A. Redman, T. Dundon, T. (2017) *Contemporary Human Resource Management*, 5th edition, Harlow: Pearson

Reading



Essential Reading

- Torrington, D., Hall, L., Atkinson, C. (2025). *Human Resource Management* (12th edition). Pearson
- Torrington, D., Hall, L., Atkinson, C. (2020). *Human Resource Management* (11th edition). Pearson

Recommended Reading

- Noe, R.A., Hollenbeck, J.R., Gerhart, B.A., & Wright, P.M. (2024). *Fundamentals of human resource management* (Ninth edition). McGraw Hill.
- Noe, R.A., Hollenbeck, J.R., Gerhart, B.A., & Wright, P.M. (2022). *Human resource management: gaining a competitive advantage* (Thirteenth edition). McGraw Hill.
- Heizer, J., Render, B., & Munson, C. (2024). *Principles of Operations Management: Sustainability and Supply Chain Management* (Twelfth edition). Pearson.
- Slack, N., & Brandon-Jones, A. (2024). *Operations and process management* (7th edition). Pearson.
- Slack, N., & Brandon-Jones, A. (2018). *Operations and process management principles and practice for strategic impact* (Fifth edition). Pearson.
- Hill, A., & Hill, T. (2011). *Essential operations management* (Second edition). Palgrave.

Additional Reading

- Bratton, J., & Bratton, A., (2022) *Human Resource Management: A critical approach*. 7th edn. London UK: Bloomsbury Publishing Plc
- **CMI Website : Management Direct**